

It is thus important to understand and identify whether the company's raw materials and final product prices are cyclical. Suppose a company is selling something cyclical in nature, whose prices change due to weather, seasons, changes in raw materials prices, etc. In that case, we must see the past trends in gross profit margin over the years.

COGS						
Gross Profit Margins	55%	56%	54%	49%	53%	54%
Evaluate GPM. Is it due to cost changes or pricing power? High GPM shows huge competitive advantage						
Cyclicalities in prices of raw materials and final						
Compare change in Raw materials prices with actual changes in markets. Economies of scale/ Experience Curve?						
How and why is GPM higher/lower than Competitors						

3. Compare changes in raw materials prices with actual changes in market prices.

This can be done for both raw materials and final products. If a company's gross profit margins go up by 5 percent, we need to check if the price of the final products also increase. Thus, a company selling a product at 100 rupees might sell the same product at 90 rupees the following year and still make better gross profit margins.

We need to understand if raw material prices increases, does the company increase prices for final products and if raw material price decreases, does the company decrease price in the market. Also, how it impacts the gross profit margins.